Master's degree or above

Specification	Year FE	+ Client FE	+ Audit firm FE
Audit failure			
Separate regression	-0.002	-0.002	-0.002
	(0.003)	(0.004)	(0.004)
Observations (separate)	41,252	41,252	41,252
R-squared (separate)	0.0172	0.2269	0.2334
Outcome mean (separate)	0.041	0.041	0.041
Joint regression	-0.001	0.000	-0.001
	(0.003)	(0.004)	(0.004)
Observations (joint)	41,252	41,252	41,252
R-squared (joint)	0.0179	0.2272	0.2336
Outcome mean (joint)	0.041	0.041	0.041
Master only vs. below bachelor	-0.009**	-0.008*	-0.008*
	(0.004)	(0.005)	(0.005)
Observations (categories)	41,252	41,252	41,252
R-squared (categories)	0.0175	0.2271	0.2336
Outcome mean (categories)	0.041	0.041	0.041
Restatement			
Separate regression	-0.001	0.001	0.000
	(0.002)	(0.003)	(0.003)
Observations (separate)	41,252	41,252	41,252
R-squared (separate)	0.0155	0.2099	0.2170
Outcome mean (separate)	0.021	0.021	0.021
Joint regression	-0.001	0.002	0.001
	(0.002)	(0.003)	(0.003)
Observations (joint)	41,252	41,252	41,252
R-squared (joint)	0.0160	0.2101	0.2172
Outcome mean (joint)	0.021	0.021	0.021
Master only vs. below bachelor	-0.004	-0.003	-0.004
	(0.003)	(0.003)	(0.003)
Observations (categories)	41,252	41,252	41,252
R-squared (categories)	0.0156	0.2100	0.2171
Outcome mean (categories)	0.021	0.021	0.021
Violation			
Separate regression	0.001	-0.001	-0.001
	(0.002)	(0.003)	(0.003)
Observations (separate)	41,252	41,252	41,252
R-squared (separate)	0.0083	0.2166	0.2216
Outcome mean (separate)	0.025	0.025	0.025
Joint regression	0.003	0.000	0.000
	(0.003)	(0.003)	(0.003)
Observations (joint)	41,252	41,252	41,252
R-squared (joint)	0.0089	0.2168	0.2216
Outcome mean (joint)	0.025	0.025	0.025
Master only vs. below bachelor	-0.005	-0.005	-0.004
	(0.003)	(0.004)	(0.004)
Observations (categories)	41,252	41,252	41,252
R-squared (categories)	0.0086	0.2167	0.2216
Outcome mean (categories)	0.025	0.025	0.025

Notes: All specifications use the common sample and client controls plus historical exposure controls. Separate regressions include one background indicator; joint regressions include all six indicators. Education and school thresholds are nested: joint coefficients are incremental contrasts. Category rows use mutually exclusive groups and the reference group stated in the row. Column 3 includes year, client and audit firm fixed effects. Standard errors are clustered by client. Education is measured from the available snapshot; Big Four history excludes the focal client. Outcomes use a three-year disclosure window. *** p<0.01, ** p<0.05, * p<0.1.